

THE BUZZ

TARIFF IMPACT

TRUMP'S TRADE TIRADE

Despite ongoing negotiations for a trade deal, India was caught unawares after the US slapped a 25% reciprocal tariff along with a 25% penalty on Indian exports. Can a deal still be signed?

BY TEAM BT

14 | ► **INDIA WAS ONE** of the early movers on initiating trade talks with the US, soon after Donald Trump took over as President in January. But five rounds of negotiations later, it has been unable to clinch a trade deal with the US, and what's worse, it now faces tariffs of 50%, including a 25% penalty from August 27 because of the purchase of crude oil from Russia.

Faced with pressure from the US on opening sensitive sectors like

par with Brazil and a lot higher than China, which has a 30% tariff, and Vietnam with a 20% tariff rate. The US is India's largest trading partner, making it vital for New Delhi to clinch a deal soon.

Experts warn that India must brace for some short-term impact at least. After all, the competitiveness of Indian exports is at stake due to the tariff differential.

A recent report by the think tank Global Trade Research Initiative has

could fall by 30-50% include steel, aluminium, copper and auto parts.

Exporters are already feeling the heat, complaining of stalled orders and shipments, and have sought immediate government support, while analysts have warned that the higher tariffs could adversely impact gross domestic product (GDP) growth, estimated at 6.5% this fiscal.

Mithileshwar Thakur, Secretary General of the Apparel Export Promotion Council, says the current crisis has put the \$5 billion worth of apparel exports to the US under severe strain. "As per our estimate, a tariff of 15-20% was still workable, but a 50% tariff is too excessive. The industry almost stopped getting new orders from the US since reference was made to the penalty on India," he says.

Industry needs urgent fiscal support from the government to remain competitive and prevent the loss of jobs. "We are also intensifying our efforts to diversify to other important markets. We still remain hopeful that the BTA (bilateral trade agreement) negotiations will move in the right direction," Thakur says.

In FY25, India exported \$10 billion worth of textiles, made-ups and

A REPORT BY GTRI SAYS EXPORTS THAT MAY PLUMMET BY 50-70% INCLUDE SHRIMPS, ORGANIC CHEMICALS, CARPETS, READYMADE GARMENTS

agriculture and dairy, as well as scrutiny over Russian oil purchase, India has reiterated that it will protect its national interests while remaining hopeful of concluding a deal in the coming months.

For the moment, however, India has one of the highest tariff rates among the US' trading partners, on

listed sectors that will face an impact. Those that could see very high impact, where exports may plummet by 50-70% include shrimps, organic chemicals, carpets, knitted and woven apparel, readymade garments, machinery and mechanical appliances and furniture and bedding. High impact sectors, where exports